approach, value investors need to have a similar long-term perspective to avoid inconsistencies between their methodology and trading decisions.

37. The Efficient Market Hypothesis Provides an Inaccurate Model of How the Market Really Works

Prices are not always near fair value. Sometimes, prices will be much too high based on the prevailing information, and sometimes they will be much too low. Greenblatt quotes the metaphor originally used by Benjamin Graham, in which he compares the market to a highly erratic business partner who is sometimes willing to sell shares to you at absurdly low prices and sometimes willing to buy shares from you at ridiculously high prices. The trader should take advantage of these bouts of emotional irrationality by the market. Of course, the corollary is that the value investor will typically be a seller during periods of market euphoria and a buyer during market panics. To be able to hold fundamentally justified value positions through market panics, the value investor needs to maintain a long-term perspective.

38. It Is Usually a Mistake for a Manager to Alter Investment Decisions or the Investment Process to Better Fit Investor Demands

Greenblatt tells his students, “You are setting yourself up for failure if you invest differently than you want to in order to please investors.” Taylor